COASTAL UNION BANK

Building a Business Continuity & Disaster Recovery Program

BC/DR Program Assessment

A scenario-based assessment covering business impact analysis, recovery targets, crisis activation and communication, and a tabletop exercise for a regional bank dependent on core banking, payment processing, branch operations, and a primary data center.

Assessment focus

- Business Impact Analysis (BIA)
- Recovery Time Objective (RTO), Recovery Point Objective (RPO), and Maximum Tolerable Downtime (MTD)
- Crisis declaration and communications
- Data center outage tabletop exercise with escalation injects
- Governance, testing, and continuous improvement

Reference framework: ISO 22301 business continuity management principles

1. Executive Summary

Coastal Union Bank has approximately 1,200 employees across 40 branches. Its environment includes a core banking system hosted in one primary data center, real-time payment processing, mobile and online banking, ATM services, and third-party payment processor integrations. The scenario identifies a lack of tested business continuity and disaster recovery plans, inconsistent recovery procedures across acquired branches, no documented Business Impact Analysis, and no formal governance structure.

This assessment proposes recovery priorities and governance arrangements for a bank-wide BC/DR program. It preserves the recovery targets submitted in the source document, while identifying where they need validation. These targets should be treated as proposed planning values until business owners, technology teams, and risk leadership approve them through a formal BIA.

Key recommendation

Establish an executive-sponsored BC/DR program, validate impact and recovery targets with business owners, define a crisis management team activation path, and run an end-to-end tabletop exercise that tests data-center loss and a cyber incident. Recovery capability should be demonstrated through evidence, not assumed because backups or alternate-site facilities exist.

2. Business Impact Analysis (BIA)

The submitted BIA identifies Core Banking, Payments, Branch Operations, and the Primary Data Center. The assignment asks for three critical business functions; the primary data center is better treated as a critical technology dependency supporting the business functions rather than a customer-facing business function itself. All four entries are retained below to preserve the submitted information and make the dependency visible.

Function / dependency	Impact tier in submission	Impact at 1 hour	Impact at 24 hours	Impact at 1 week	Submitted RTO	Submitted RPO	Submitted MTD
Core Banking	Critical	High: transactions or account servicing may be disrupted	Severe: sustained service interruption, reconciliation backlog, customer impact	Critical: major financial, operational, regulatory and trust consequences	2 hours	15 minutes	5 hours
Payments	Essential	Moderate to high: payment delays and failed transactions	High: settlement delays, customer complaints and operational backlog	Severe: prolonged disruption to customers and counterparties	5 hours	24 hours	72 hours
Branch Operations	Essential	Moderate: some branch services may be unavailable	High: manual workarounds and service backlog	Severe: sustained disruption to customer access and branch operations	5 hours	24 hours	72 hours
Primary Data Center (technology dependency)	Critical	High: dependent systems may be unavailable	Severe: core banking, payments and digital channels may remain disrupted	Critical: prolonged outage could threaten business viability and regulatory obligations	15 minutes	15 minutes	6 hours

Important BIA interpretation

The impact descriptions at 1 hour, 24 hours, and one week are illustrative qualitative estimates added to complete the assignment format. They are not measured financial estimates and should be validated with process owners. The source document did not provide financial loss figures or quantified impact values for these intervals.

RTO, RPO, and MTD validation

RTO is the target time to restore a service. **RPO** is the maximum targeted amount of data loss measured in time. **MTD** is the maximum period a disruption can be tolerated before impacts become unacceptable. RTO should generally fit within the approved MTD. Core Banking has a submitted RTO of 2 hours and MTD of 5 hours, which fits that relationship. The Primary Data Center's 15-minute RTO and 6-hour MTD also fit. Payments and Branch Operations list RTOs of 5 hours, RPOs of 24 hours, and MTDs of 72 hours; the 24-hour RPO may permit substantial transaction-data loss and must be reviewed carefully against payment, ledger, and reconciliation requirements.

3. BC/DR Governance and Crisis Activation

The submitted activation path begins with the risk owner or Operations Lead declaring a crisis, followed by escalation to the Incident Commander (CEO or designate), Legal and Compliance, Operations, and Communications. The flow below clarifies the sequence and separates declaration authority from execution of recovery tasks.

Recommended activation path

1. A branch manager, IT monitoring function, service owner, or risk owner reports an outage or event using the established escalation channel.
2. The Operations Lead or designated crisis authority assesses the trigger criteria and declares a crisis when thresholds are met.
3. The Incident Commander (CEO or formally delegated executive) activates the Crisis Management Team (CMT), assigns priorities, and approves major business decisions.
4. IT/Disaster Recovery coordinates technical recovery, alternate-site activation, backups, and restoration testing.
5. Legal and Compliance advises on regulatory, contractual, and recordkeeping obligations.
6. The Communications Lead issues approved internal and external updates, coordinated with Legal and the Incident Commander.
7. Business owners confirm service restoration, reconcile transactions, and record outstanding risks before normal operations are declared.

Suggested Crisis Management Team

• **Incident Commander / executive sponsor:** declares or confirms crisis activation, sets priorities, approves material decisions.
• **Business and Operations Leads:** assess customer and branch impacts, coordinate workarounds, confirm business readiness.
• **IT and Disaster Recovery Lead:** restores infrastructure and applications, validates backups and alternate-site readiness.
• **Risk, Legal and Compliance:** advises on obligations, risk acceptance, and required records.
• **Communications Lead:** prepares consistent customer, employee, media, and stakeholder updates.
• **Third-party/vendor liaison:** coordinates with payment processor and other critical service providers.

4. Customer Crisis Communication

The submitted customer message describes planned maintenance on 15 October 2026 from 12:00 AM to 5:00 AM. That is a planned service notice, not an outage crisis message. It should be kept separate from the emergency communication plan. The revised example below is for an unplanned core banking outage, as required by the tabletop assignment.

Sample customer message for an unplanned outage

CUSTOMER SERVICE UPDATE

Dear Customer,

We are currently experiencing a service disruption affecting some of our banking services. Our technology and operations teams are investigating the issue and working to restore services safely as soon as possible.

During this time, some core banking, payment, online banking, or ATM transactions may be delayed or unavailable. We will provide updates through our official communication channels as more information becomes available. Please avoid repeating a transaction if you are unsure whether it has completed, and contact the bank through its verified support channels for assistance.

We apologize for the inconvenience and appreciate your patience.

Coastal Union Bank

Communication controls

Confirm the affected services and approved wording before publishing. State what customers may experience, what the bank is doing, where updates will appear, and when the next update is expected. Do not speculate about the cause or promise a restoration time that has not been validated. Keep a record of approvals, publication times, and channels used.

5. Tabletop Exercise: Loss of Primary Data Center

Exercise objective: test whether Coastal Union Bank can activate crisis governance, maintain essential banking services, invoke disaster recovery, communicate with customers, and validate data integrity within the approved RTO and RPO targets.

Scenario

At 9:00 AM on a business day, a fire in the primary data center forces an evacuation. Core banking, online banking, and payment processing become unavailable. The incident commander must determine whether to activate the alternate recovery site, while IT checks backup integrity and the business team assesses customer and transaction impacts.

Exercise timeline and injects

Time	Inject / development	Expected participant actions
T+0	The primary data center is declared unavailable due to a fire. Monitoring reports that core banking and payment services are down.	Raise incident; protect staff safety; activate the CMT; identify affected services; declare crisis according to thresholds; assign decision and communications owners.
T+20 minutes	**Inject 1:** IT reports that the most recent backup job failed and the last known good backup may be older than the 15-minute RPO for core banking.	Validate backup status and recovery point; communicate potential data-loss exposure; choose a verified recovery point; escalate any RPO breach to the Incident Commander and business owners; preserve transaction logs for reconciliation.
T+40 minutes	**Inject 2:** The payment processor reports a growing queue of transactions, while customers post reports of failed transfers on social media.	Contact the processor through verified channels; prioritize payment reconciliation; issue an approved customer update; coordinate branch workarounds; track complaints and transaction status; set a time for the next update.
T+60 minutes	The recovery site is available, but IT must validate application integrity and transaction consistency before service is reopened.	Confirm authorization to fail over; test application and security controls; reconcile transactions; obtain business owner sign-off; communicate service status and outstanding limitations.

Exercise success criteria

- Crisis activation and roles are confirmed promptly.
- The team identifies critical services and dependencies.
- Recovery decisions are recorded and authorized.
- Actual recovery performance is compared with approved RTO/RPO targets.
- Customer and employee communications are accurate, approved, and timely.
- Transaction reconciliation and business sign-off occur before normal service is declared.
- Gaps are recorded with owners, due dates, and follow-up testing.

6. Findings and Recommendations

Finding 1: No formal BC/DR governance. Establish an executive sponsor, policy, steering committee, defined plan owners, and annual review cadence.
Finding 2: Recovery plans are untested. Exercise the bank's recovery plans across IT, branches, operations, and vendors. Capture evidence and corrective actions.
Finding 3: BIA and metrics need validation. Obtain business-owner approval for impact estimates, RTO, RPO, and MTD, including dependencies and maximum tolerable transaction loss.
Finding 4: Alternate-site readiness is unclear. Confirm whether the bank has a hot, warm, or cold site; document capacity, connectivity, access, and failover responsibilities.
Finding 5: Crisis communication needs formal control. Maintain approved templates, spokesperson assignments, stakeholder lists, update cadence, and alternate communication channels.

Implementation priorities

1. Within 30 days: appoint the executive sponsor and program owners; confirm critical functions and third-party dependencies.
2. Within 60 days: validate the BIA, RTO/RPO/MTD values, crisis thresholds, and customer communication templates.
3. Within 90 days: run a tabletop exercise and backup/restore test; record results and remediation owners.
4. Ongoing: test alternate-site recovery, review vendor resilience, track remediation to closure, and repeat exercises at an approved cadence.

7. Conclusion

Coastal Union Bank should establish a governed, tested BC/DR program that links business impact analysis to realistic recovery targets, clear crisis authority, reliable recovery capabilities, and controlled communications. The proposed BIA retains the submitted target values but highlights the need to validate them, particularly the 24-hour RPO for payments and branch operations. The tabletop exercise provides a practical way to test whether the bank can recover critical services and communicate clearly during a major disruption.

8. Author

Project: Coastal Union Bank Business Continuity & Disaster Recovery Assessment
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Educational case study based on the supplied assignment scenario and submitted document. Impact estimates are illustrative and recovery targets require formal business-owner approval. This is not an audit or certification of an actual bank.